NEWS RELEASE

TSX: CBY

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Canada Bread Reports Results for the First Quarter 2013

Toronto, Ontario – May 2, 2013…Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the first quarter ended March 31, 2013. First quarter highlights include:

- Adjusted Operating Earnings[(1)(2)] increased to $17.1 million compared to $7.9 million last year
- Adjusted EPS[(2)(3)] increased to $0.45 from $0.19 last year
- Net earnings[(2)] increased to $2.3 million compared to $0.2 million last year

"We made good progress in the quarter with improved results across our businesses," said Richard Lan, President and CEO. "Of note, the most substantial contribution came from improved operating efficiencies, including the contribution of our new Hamilton bakery to earnings. We are focused on delivering higher levels of profitable growth through cost reduction but even more importantly through innovation, category expansion and optimizing our sales mix. We are identifying new opportunities that we can act on commencing this year."

(1) Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures at the end of this news release.

(2) 2012 figures have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements.

(3) Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders, and is adjusted for all items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures at the end of this news release.

Financial Overview

Sales for the first quarter decreased 0.4% to $368.7 million, but increased 0.6% after adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K. This increase in sales was mostly due to price increases in the fresh and North American frozen bakery businesses and higher croissant volumes in the U.K., partly offset by lower volumes in the fresh bread business.

Adjusted Operating Earnings for the first quarter increased to $17.1 million compared to $7.9 million last year, largely due to improved performance in the fresh bakery business. Results from the frozen and fresh pasta businesses also increased while earnings from the U.K. operations were consistent with last year.

Net earnings in the quarter were $2.3 million ($0.09 basic earnings per share) compared to $0.2 million ($0.01 basic earnings per share) last year and included $10.4 million of pre-tax restructuring and other related costs (2012: $5.9 million). Adjusted EPS for the first quarter were $0.45 compared to $0.19 last year.

Business Segment Review

The following table summarizes sales by business segment:

(Unaudited)		First Quarter		
($ thousands)		**2013**		2012
Fresh Bakery	**$**	**242,665**	$	248,183
Frozen Bakery		**126,040**		122,061
Sales	**$**	**368,705**	$	370,244

The following table summarizes Adjusted Operating Earnings by business segment:

(Unaudited)		First Quarter		
($ thousands)		**2013**		2012[(1)]
Fresh Bakery	**$**	**13,260**	$	6,589
Frozen Bakery		**3,841**		1,267
Adjusted Operating Earnings	**$**	**17,101**	$	7,856

(1) 2012 Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the first quarter declined 2.2% to $242.7 million from $248.2 million last year as lower volumes were partly offset by price increases implemented at the fresh bread business.

Adjusted Operating Earnings increased to $13.3 million compared to $6.6 million last year. The substantial earnings increase in the fresh bread business was mostly the result of improved operating efficiencies, contribution from the new Hamilton, Ontario bakery and non-recurrence of SAP start up costs incurred last year. Also benefiting earnings were price increases and lower advertising & promotional costs. During the quarter, approximately $3 million of duplicative overhead costs were incurred, pending the closure of a third Toronto bakery. These costs, expected to be approximately $5 million in total for the first half of the year, will be eliminated in early June when the bakery is closed and production transferred to the Company's recently constructed Hamilton, Ontario bakery. Earnings improvement in the fresh pasta business resulted from an inventory write-off in the first quarter of last year that did not re-occur.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the first quarter increased 3.3% to $126.0 million from $122.1 million in 2012. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 6.4%, primarily due to higher croissant volumes in the U.K. bakery, as well as higher pricing in the North American business.

Adjusted Operating Earnings for the first quarter increased to $3.8 million compared to $1.3 million last year. Higher margins in the North American frozen bakery business were largely due to price increases implemented during the quarter. Although the U.K. bakery business benefited from higher volumes and the closure of the Walsall facility last year, increased marketing spending during the quarter to support continued growth of the *New York Bakery* brand offset these improvements.

Subsequent Events

On April 4, 2013, the Company entered into an agreement to sell a bakery, producing specialty products, located in London, U.K.

On April 16, 2013, the Company announced plans to close a bakery in Shawinigan, Quebec on May 3, 2013. The Company will incur approximately $3.1 million before taxes in restructuring costs, including approximately $1.6 million of cash costs.

Other Matters

On May 1, 2013, Canada Bread declared a dividend of $0.50 per share payable on July 2, 2013 to shareholders of record at the close of business on June 7, 2013. Unless indicated

otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Reconciliation of Non-IFRS Financial Measures

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of net earnings as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three month periods as indicated below to Adjusted Operating Earnings. Management believes that this basis is the most appropriate on which to evaluate operating results, as they are representative of the on-going operations of the Company.

(Unaudited)	**Three months ended March 31, 2013**		
($ thousands)	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			$ 2,281
Income taxes			1,499
Earnings from operations before income taxes			**$ 3,780**
Interest expense			397
Earnings from operations before interest and income taxes	**$ 4,157**	**$ 20**	**$ 4,177**
Other (income) expense	(1,298)	3,811	2,513
Restructuring and other related costs	10,401	10	10,411
Adjusted Operating Earnings	**$ 13,260**	**$ 3,841**	**$ 17,101**

(Unaudited)	Three months ended March 31, 2012[1]		
($ thousands)	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			$ 159
Income taxes			1,398
Earnings from operations before income taxes			**$ 1,557**
Interest expense			437
Earnings from operations before interest and income taxes	**$ 4,673**	**$ (2,679)**	**$ 1,994**
Other (income) expense	(231)	209	(22)
Restructuring and other related costs	2,147	3,737	5,884
Adjusted Operating Earnings	**$ 6,589**	**$ 1,267**	**$ 7,856**

(1) 2012 Net earnings and Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements

Adjusted Earnings per Share

Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders, and is adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of basic earnings per share as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three month periods as indicated below to Adjusted Earnings per Share. Management believes this basis is the most appropriate on which to evaluate financial results as they are representative of the on-going operations of the Company.

(Unaudited)	Three months ended March 31,	
($ per share)	**2013**	2012[1]
Basic earnings per share	**$ 0.09**	$ 0.01
Items not considered representative of on-going operations[2]	**0.06**	-
Restructuring and other related costs[3]	**0.30**	0.18
Adjusted Earnings per Share[4]	**$ 0.45**	$ 0.19

(1) 2012 Basic and Adjusted Earnings per Share have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements

(2) Includes gains/losses associated with non-operational activities, including gains/losses related to restructuring activities, business combinations, discontinued operations, and assets held for sale, all net of tax.

(3) Includes per share impact of restructuring and other related costs, net of tax.

(4) May not add due to rounding

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by management. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding the use of derivatives, futures and options, expectations regarding the timing and amount of capital investments, expectations regarding the timing and cost of old facility closures and new facility openings, the expected use of cash balances, source of funds for ongoing business requirements including renewal of existing securitization facilities, capital investments and debt repayment, expectations regarding LEED® certification, expectations regarding the impact of new accounting standards, expectations regarding sufficiency of the allowance for uncollectible accounts and expectations regarding pension plan performance and future pension liabilities and contributions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments; and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information are discussed in more detail under the heading "Risk Factors" in the Company's annual Management's Discussion and Analysis for the year ended December 31, 2012 that is available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2012 sales of $1.6 billion and employs approximately 6,400 people at its operations across North America and in the United Kingdom.